

Trump Economic Approval → Policy Pivot Framework

Economic Approval	GOP Approval	Generic Ballot
35%	77%	D+9

Market context: VIX 28.5 | Gold \$4,520 | WTI \$101.93 | Brent \$105.88 | Gas \$4.56

Rates & yield: 10Y 4.60% | 2s10s +85bp | 30Y 5.12% | ERP 0.81% | Fed hike probability 53%

This week: Trump approval sinks to 35% (Reuters/Ipsos), GOP support erodes; 30Y yield tops 5% for first time since 2007; fed hike odds cross 50%; oil stays above \$100; Iran ceasefire proposal stalls.

Positioning update: Given elevated yields and rate hike risks, reduce duration in portfolios and increase cash/ultra-short positions. The combination of high gas prices and falling approval suggests a tariff rollback is likely by year-end, but near-term volatility remains high. Consider selective exposure to energy and defense, but avoid long-duration fixed income.

THRESHOLD ALERTS

- WARNING: GOP approval (77.00%) crossed warning threshold
- WARNING: WTI crude (\$101.93) crossed warning threshold
- WARNING: Gas price avg (\$4.56) crossed warning threshold
- WARNING: 2s10s spread (0.85%) crossed warning threshold
- CRITICAL: Fed hike probability (0.53) crossed critical threshold
- WARNING: Generic ballot (9) crossed warning threshold

SCENARIO PROBABILITIES

No pivot: 15% (weakening) — Trump approval at 35% and GOP support eroding make it increasingly difficult to maintain tariffs without political backlash.

Tariff rollback (base case): 45% (strengthening) — Rising yields, high gas prices, and fed hike odds above 50% create acute economic pressure that may force tariff rollback in H2 2026.

Oil trap: 40% (strengthening) — Iran ceasefire proposal could reduce oil prices and ease gas pressure, allowing Trump to avoid tariff rollback, but yields remain elevated.

Notes: Key missing data: VIX exact level not provided; GOP approval estimated at 77% based on 'plummet' language but not explicit; generic ballot not directly polled; fed cut probability estimated at 5%. Overall picture shows stagflationary pressure with political risk rising.

Iran status: Ceasefire paused; Iran made new proposal but negotiations stalled. Trump warns Tehran has days to make deal, risk of renewed conflict.

Generated 2026-05-21 16:31. Sources: Reuters/Ipsos, Silver Bulletin, Pew, RCP, Morning Consult, WF, JPM, Allianz. Not investment advice.